Such increases could quickly filter through the broader economy. The country spent much of 2025 grappling with elevated food prices, though overall inflation remained manageable enough for the Reserve Bank of India to cut interest rates by 125 basis points during the year. A sustained rise in energy prices could reverse that progress. "The rise in oil price leads to cost-push inflation in the economy," says Soumya Kanti Ghosh, group chief economic advisor at the State Bank of India. "Every $10 increase in oil prices may lead to a 35–40 basis point rise in inflation. Higher oil prices may slow down economic growth by 20–25 basis points in FY27."

STREAMLINING GAS SUPPLIES

The immediate impact, however, has been uneven. Petrol and diesel prices have not yet been affected. But Air India has announced a Rs 399 fuel surcharge on domestic flight tickets from March 12 and also a hike in charges on international routes in a phased manner. Long-haul flight tickets will become up to $50 (Rs 4,600) dearer.

In several major cities—including Mumbai, Hyderabad, Chennai and Bengaluru—reports have also emerged of disruptions in liquefied petroleum gas (LPG) distribution. Oil marketing companies have already begun adjusting retail prices. On March 7, the price of a non-subsidised 14.2 kg domestic LPG cylinder was raised by Rs 60, taking it to Rs 913 in Delhi. Commercial LPG prices rose even more sharply, with a Rs 114.5 increase for a 19 kg cylinder, now priced at Rs 1,883 in the capital.

Recognising the potential for wider disruption, the Centre on March 10 invoked the Essential Commodities Act to regulate the production and supply of natural gas. The new Natural Gas (Supply Regulation) Order, 2026, introduces a four-tier priority system for allocating gas across sectors. The highest priority category includes piped natural gas for households, compressed natural gas used in transport, LPG production and fuel required for operating gas pipelines. Fertiliser plants fall in the second tier. The third includes tea plantations, manufacturing units and other industries connected to the national gas grid, while the fourth covers industrial and commercial consumers supplied through city gas distribution networks.

DESPITE HIGH FOOD PRICES, INDIA'S OVERALL INFLATION WAS MANAGEABLE IN 2025. A RISE IN ENERGY COSTS CAN REVERSE THAT

The government has also directed both public and private refineries to maximise the production of LPG. The resulting supply is to be routed exclusively to the country's three public sector oil marketing companies. For non-domestic sectors like hospitality, a committee comprising three executive directors of these companies will review representations for LPG supply. But hotel and restaurant owners have warned that prolonged supply shortages or sustained price increases could force temporary closures.

GAS RATIONING

- On Mar. 10, the Centre invoked the Essential Commodities Act to regulate production and supply of natural gas
- The Natural Gas (Supply Regulation) Order, 2026, introduces a four-tier gas allocation priority list
- PNG for households, CNG transport, LPG production and pipeline operations accorded the highest priority
- Industrial and commercial users supplied via city gas networks at the bottom of the priority list
- Refineries directed to maximise LPG output, routed exclusively to the three public sector oil companies

THE RUSSIAN CRUDE OPTION

The crisis has also reopened a strategic option that had recently narrowed: the purchase of Russian crude. On March 6, the US Treasury Department issued a temporary 30-day waiver allowing Indian refiners to buy Russian oil in order to "enable oil to keep flowing in the global market". Treasury secretary Scott Bessent described the waiver as a "short-term" measure that would not significantly benefit Moscow because it applies only to shipments stranded at sea.

The move, which comes barely weeks after Trump announced an interim trade deal with India in which he claimed New Delhi had agreed to halt purchases of Russian oil, has reignited political debate in India. The Opposition Congress used social media to mock the government, arguing that a country of 1.4 billion people should not need Washington's "approval" for its energy purchases.

As of December 2025, Russia accounted for 31.5 per cent of India's oil imports, followed by Iraq at 24 per cent, Saudi Arabia at 13.8 per cent and the UAE at 11.2 per cent. By January this year, Russia's share had dropped to 20.5 per cent, according to the Union commerce ministry data. Ironically, the West Asia conflict may end up strengthening Moscow's position in global energy markets. Russian president Vladimir Putin has already signalled that his country is willing to supply oil and gas supplies to Europe if needed—albeit on certain conditions. For India, the immediate situation remains manageable. But it remains acutely exposed to any prolonged disruption in one of the world's most fragile energy corridors. ■